

they look to earn returns and outperform other investors. Investment managers invest the capital of their clients, also for a fee. All parties are financially motivated.

The human mind is a creative organ, always looking for something better, faster, and more profitable. Given the high level of motivation, considerable brainpower is applied to financial challenges, and the result is financial innovation. Wall Street constantly invents new securities and techniques, which are regularly heralded as seminal advances and surefire solutions. Some prove out when tested in hostile economic environments, and some are defrocked.

Because of this tendency toward evolution, the fixed-income market of today is nearly unrecognizable from what it looked like when the 1940 edition of *Security Analysis* was written. Even in just the period since 2009, when I first updated the section on “fixed-value” investing for a new edition, our markets have continued to evolve. For those who are intellectually curious and interested in new subjects to conquer, this is one of the great benefits of being an investor.

I described the transition of investing from the rules-bound pursuit of quality and safety to the flexible maximization of risk-adjusted returns, and thus from risk avoidance to the intelligent bearing of risk for profit. These developments have contributed to substantial change in the fixed-income markets, in ways Graham and Dodd could never have foreseen. I want to close this section by describing some of them.

“Fixed-value” is the term Graham and Dodd used to describe investing in debt securities. Over time, that morphed into “fixed income.” Even that latter term is heard less often these days, perhaps because the popularity of floating rate securities and the importance of changes in creditworthiness have rendered our turf much less “fixed.”

Today, the term we hear more often is “credit,” which refers to all fixed-income securities other than debt of governments. The term